

9706/31/o/n/16

1-A:

Net external benefit is a concept in economics that refers to the **difference between the external benefits and external costs** of a particular economic activity or decision. It is calculated as: **EB-EC**

The other options are not correct:

B) External benefit plus private benefit is not a correct calculation of net external benefit. Instead, this will help us to calculate social benefit. **SB=PB+EB**

C) Private benefit plus social benefit is not a correct calculation of net external benefit as $NEB=EB-EC$.

D) Social benefit minus private cost is not a correct calculation of net external benefit.

2-A:

A: Movement from “point X to point A” will cause the output of both, Reena’s goods and Huw’s goods to fall. Falling output means that efficiency is falling, this is why, this will definitely not increase allocative efficiency.

B: Option B will result in a rise in output of Reena, and along with it the output of Huw is unchanged, which represents that Pareto improvement is being achieved.

C: Option C results in a rise in the output of both: Reena and Huw, which means that the allocation of resources results in at least one person being better off, without making anyone else worse off, as a result of which “pareto efficiency” rises. (in other words, there is pareto improvement)

D: Here, the output of Huw is rising, and the output of Reena is unchanged. This means that pareto improvement is achieved.

3-D:

A: An excess of imports over exports represents “Balance of Trade deficit”

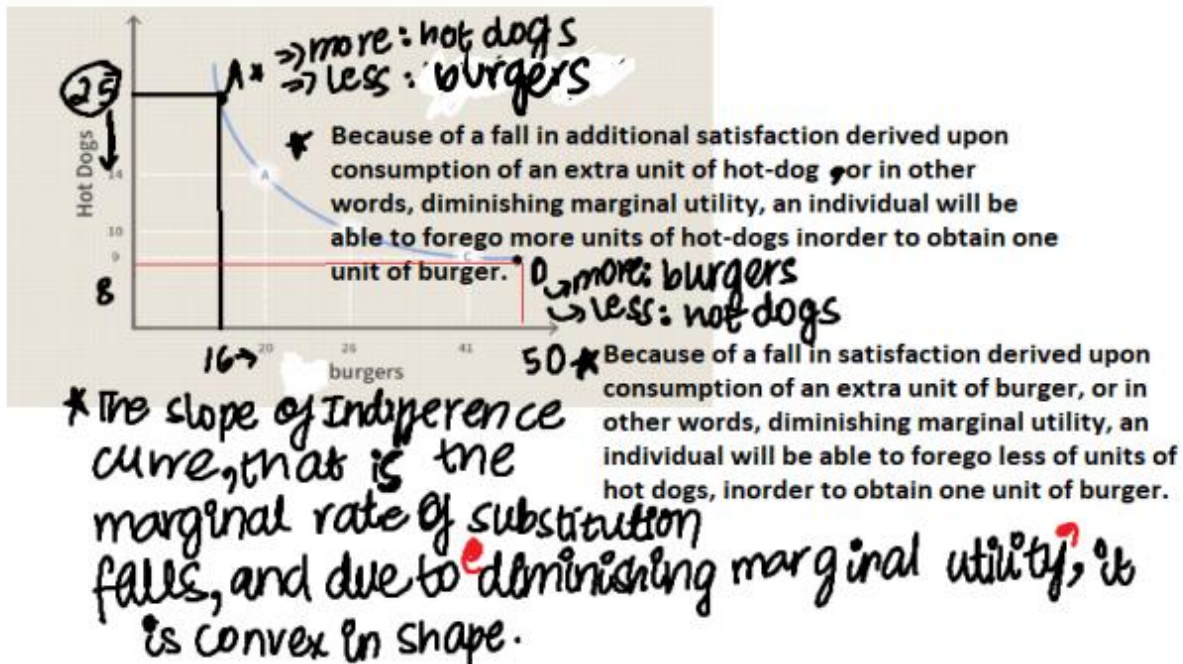
B: When prices are greater than marginal costs, this represents “allocative inefficiency”

C: Rationing of certain goods and services is the government’s system of allocating goods when there are shortages.

D: Unemployment due to deficiency of “Aggregate demand” represents that we are operating on a point inside the “production possibility curve” that is termed as actual, which explains “productive inefficiency”. **This is because, only the points on the PPC are productively efficient.**

4-D:

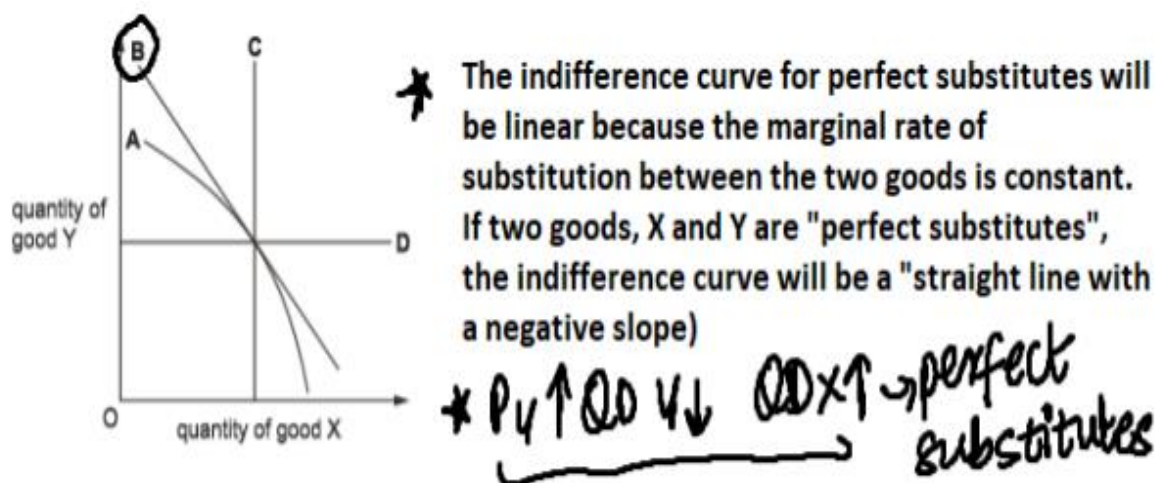
A and C: Marginal expenditure and total expenditure can be linked to spending, and therefore a budget line may be necessary for it.



B: The diagram above explains that the marginal utility diminishes.

D: This is correct as the consumer is indifferent along the indifference curve, because each consumption bundle yields the same satisfaction or total utility.

5-B:



6-D:

A - Financing investment largely through the issuance of bonds represents the interests of shareholders because it **preserves "ownership and control"**. By issuing bonds, the company can raise capital without diluting the ownership and control of existing shareholders. Unlike issuing new shares, which would result in the dilution of ownership, bonds allow the company to borrow funds while maintaining the same ownership structure.

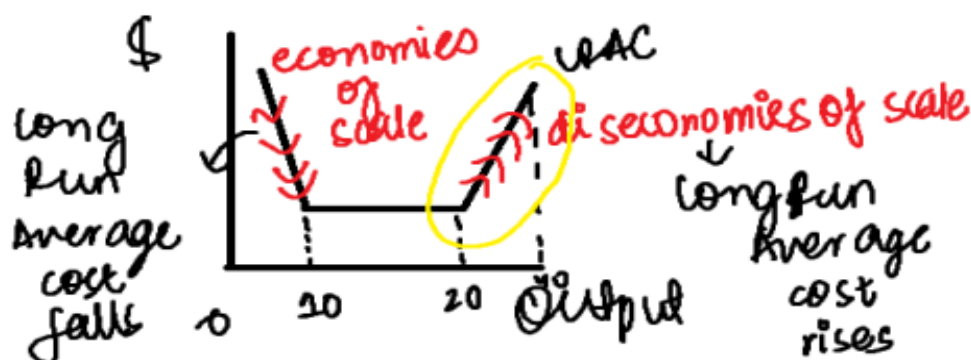
B - If there is an opportunity for managers to buy shares at reduced prices, this will lead to managers being shareholders now.

C - Again, if there is a payment of high dividends to shareholders, this represents the "interest of shareholders"

D - The presence of X-inefficiency in a firm can indicate that the firm is being run in the interests of management, **this is because, production decisions are taken by managers(agent) rather than shareholders(principal)**. X-inefficiency refers to the situation where a firm is not operating at its optimal level of efficiency and is incurring unnecessary costs or using resources inefficiently. **This is because of lack of effective competition in an industry, as a result of which, the average costs are higher, than they would be if the market was more contestable**. The management may not effectively motivate or incentivize employees to perform at their best, resulting in lower productivity levels. This can lead to inefficiencies in production processes, delays, quality issues, and higher labor costs. This is why, this becomes correct.

7-C:

A and B: In diagrams A and B, short-run average cost curves are shown instead of long-run average cost curves, which is why, they become incorrect.



C: The diagram above explains that "dis-economies of scale" are shown through the range of output from 20-40. This is why, this becomes correct

D: Here, the long-run average cost is shown to fall, which represents "economies of scale"

8-A:

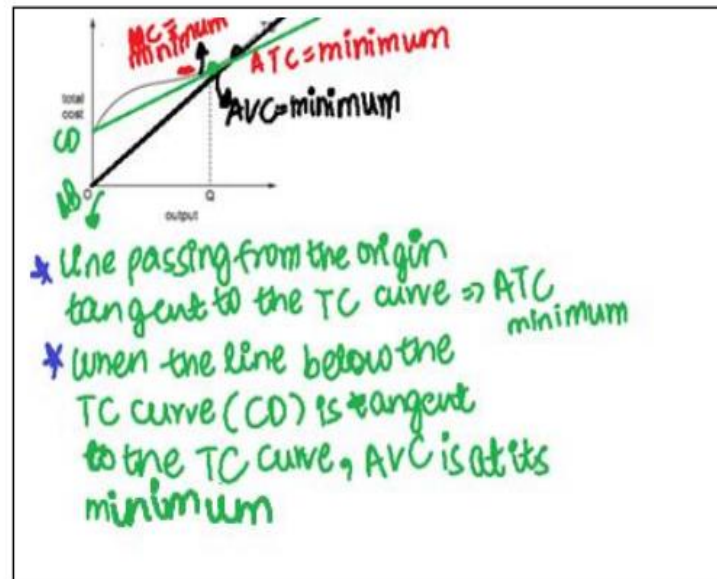
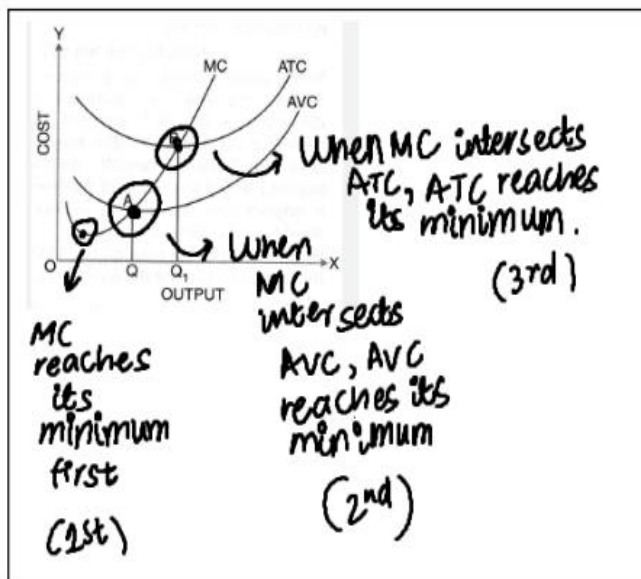
A: When a firm grows, the chains of command become longer, resulting in numerous levels of hierarchies, because of which firms experience managerial diseconomies of scale – that is, when management becomes weaker and therefore loses control over workers. And due to such an organizational structure, messages take a lot of time to be transmitted from the senior management to the lower management, and the issue of information distortion leads to coordination being disrupted. This is a disadvantage as a result of growing large in size.

B: Firms seek to grow and expand their scale of production to benefit from economies of scale that are cost advantages in form of a reduction in long-run average costs.

C: The senior management prefers growth so that their status increases because of being associated with a large firm.

D: As a result of growth, when firms are able to secure a larger market share, they may demonstrate market power by charging higher prices (acting like a monopoly)

9-C:



A – Average fixed cost is calculated by dividing fixed cost with the number of units. It keeps on falling.

B- Average total cost is not the minimum at OQ. Instead, it is the minimum at the place where the line passing from the origin is tangent to the Total cost curve (See the line AB) above.

C- Average variable cost is the minimum at OQ. This is because the line below the total cost is tangent to the total cost curve at "OQ".

D – Marginal cost is at its minimum when the total cost curve is the flattest, as the total cost curve being flattest means that the change in total cost or the marginal cost is the lowest.

10-A:

* At zero level of output, only fixed cost occurs; therefore, fixed cost = total cost, that is 120.

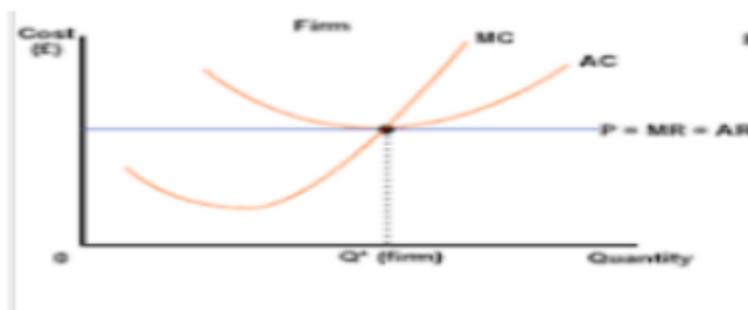
* Fixed cost remains constant regardless of the changes in output

output	total cost \$	marginal cost \$
0	120	
1	150	30
2	165	15
3	175	10
4	190	15
5	210	20

$$\begin{aligned} \text{Afc} &= \frac{\text{Fixed cost}}{\text{Qty}} \\ &= \frac{120}{6} \\ &= 20 \end{aligned}$$

11-B:

A: Price is equal to the minimum of Average cost (when MC intersects AC), in case of perfect competition. This is because, perfect competition is the only market structure to achieve “productive efficiency”. This can be seen in the diagram below:



B: In case of a contestable market, there is a potential threat of competition due to low barriers to entry and exit, and this is why, firms behave like they are operating in actual competition, and charge “low prices” to deter the entry of new firms.

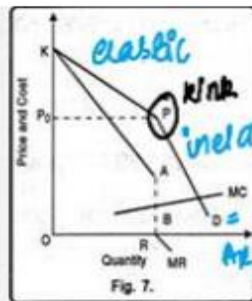
C – Revenue will be maximized when Marginal revenue is zero, and here a much higher price will be charged than the price charged in a contestable market.

D – The price set will be to deter new entrants and not be set to maximize the volume/units sold in the “short-run”.

Only in the long-run, normal profits are made in a contestable market and that is when “perfect contestability is shown”.

12-D:

The kinked demand's shape explains the concept of price rigidity in a non-collusive oligopoly.



Price rigidity & Interdependence

The kinked demand curve is a theoretical model to understand how firms might respond to changes in prices.

The key features of the kinked demand curve are as follows:

Flat and Elastic Range: Above the kink, the demand curve is relatively elastic. It suggests that if the firm raises its price slightly in an hope to increase total revenues, it will lead to a significant decrease in the quantity demanded by consumers and subsequently, a fall in total revenue, because other firms will not follow, which represents "elastic demand" (since it is a behaviour of one firm) As a result, the firm would lose a substantial portion of its market share.

* Interdependence refers to the mutual influence and dependence among firms in an oligopoly market. Unlike perfectly competitive markets, where firms are price takers and have no impact on market prices, in an oligopoly, each firm's actions and decisions can significantly affect its competitors and the overall market. In the case of the kinked demand curve, firms in a non-collusive oligopoly closely observe and react to each other's pricing and output decisions. They are aware that any change in their price or production levels will trigger responses from their rivals. This interdependence means that firms must consider how their competitors might react to their actions.

Therefore, the prices remain "rigid" at the "kink". This is because, the response of rival firms to changes in price is considered. This is why, key D, becomes correct.

* **Steep and Inelastic Range:** Below the kink, the demand curve is relatively inelastic. It implies that if the firm lowers its price slightly, the change in the quantity demanded will be relatively small, or in other words, the qty demanded will extend by a relatively smaller percentage, because other firms in the industry will follow (representing "inelastic demand"), which results in a fall in total revenue. Competing firms are expected to follow the price reduction, resulting in losses faced by everyone.

This explains why key D is correct.

A,B,C: The lack of productive capacity at output levels greater than Q_1 (option A), the ability of a firm to practice price discrimination (option B) and the absence of barriers to new firms entering the industry (option C) do not explain the shape of the 'kinked demand curve' which explains the concept of 'price rigidity and interdependence'.

13-C:

A – This is incorrect to say that average revenue can be greater than average cost in the long run, as both of these market structures make normal profits (whereby Average revenue = Average cost) in the long-run.

B – Since both of these market structures can make "super-normal profits" whereby Average revenue is greater than Average cost in the short-run, this option becomes incorrect.

C – Since, in case of 'monopolistic competition', product differentiation takes place as compared to 'perfect competition' in whose case homogeneous products are made, this option becomes correct.

D- Perfect competition has “no” barriers to entry, and monopolistic competition also has freedom of entry and exit, as there are “less or no barriers to entry”. This is why, key D, becomes incorrect.

14-A:

Economic regulation refers to the rules that limit who can enter a business(entry controls) and what prices they may charge(price controls)

An example of this is : legislation to forbid price fixing by a cartels , which is why, key A , becomes correct.

Moreover, removal of import tariffs (option B) , and subsidizing small firms (option C) , will also reduce the power of monopoly by inviting competition from “foreign firms and domestic firms’, and also, taxation of monopoly profits(option D) will reduce the financial strength of a monopoly , but these are not examples of **regulations**.

Note: A tax is not a regulation(option D)

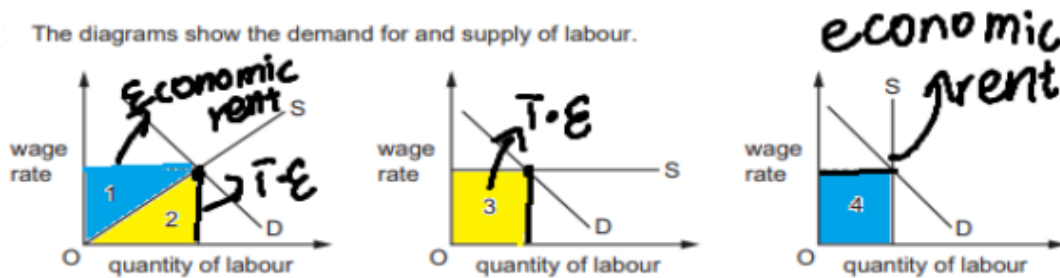
15-D:

1. **Disincentive effects:** When income is redistributed from the rich to the poor, the rich may be less incentivized to work hard and earn more, since a larger portion of their income will be taken away. This can lead to a decrease in productivity and economic efficiency.
2. **Distortion of individual choices between work and leisure:** Redistribution policies can alter the trade-off between work and leisure. If the poor receives more income without working, they may choose to work less and enjoy more leisure time. While this might improve their well-being, it can lead to a decrease in economic efficiency, as fewer people are working and contributing to the economy.
3. **Administrative costs of the redistribution policy:** Implementing a redistribution policy requires a system to manage and administer the program. This leads to administrative costs. These costs can include salaries, benefits, and resources spent on tax collection, benefit distribution, and program management. **(In other words, this represents investment in tax-collection machinery)**

16-C:

Transfer earnings are the minimum income a worker needs in order to supply their labor. Economic rent is the extra income a worker receives – above the minimum level they need in order to work.

→ The area below the supply curve represents “transfer earnings”.



Which two areas represent transfer earnings?

- A 1 and 3 B 1 and 4 C 2 and 3 D 2 and 4

Transfer earnings $\Rightarrow$ 2 & 3
Economic rent $\Rightarrow$ 1 & 4

This is why, key C, is correct.

17-D:

A – The firm is already faced with a shortage of labor, which means that, it would not “decrease the number of workers” it employs.

B – This is incorrect because training of workers will result in an increase in the productivity of workforce.

C – Introduction of its own training scheme will result in an improvement in the occupational mobility of labor.

D – When school leavers are trained with the necessary skills required in the workplace, they are more likely to join the labor force, which will increase the supply of labor, or in other words, cause the supply curve to shift rightwards. This is why key D is correct.

18-A:

The correct answer is A: Greece has a higher percentage of its workforce in full-time employment than the Netherlands.

Here's the reasoning:

- The Netherlands has a higher percentage of part-time employees, which means that a larger proportion of the workforce is working part-time.
- Greece has a smaller percentage of part-time employees, which implies that a larger proportion of the workforce is working full-time.

We can't conclude that part-time employees work longer in Greece than in the Netherlands (option B), as we don't have information on the average working hours of part-time employees specifically.

We can't conclude that the average working week in Greece for full-time employees is longer than in the Netherlands (option C), as we don't have information on the average working hours of full-time employees specifically.

We can't conclude that there are more part-time employees in the Netherlands than in Greece (option D), as we only know that the Netherlands has a higher percentage of part-time employees, not the absolute number.

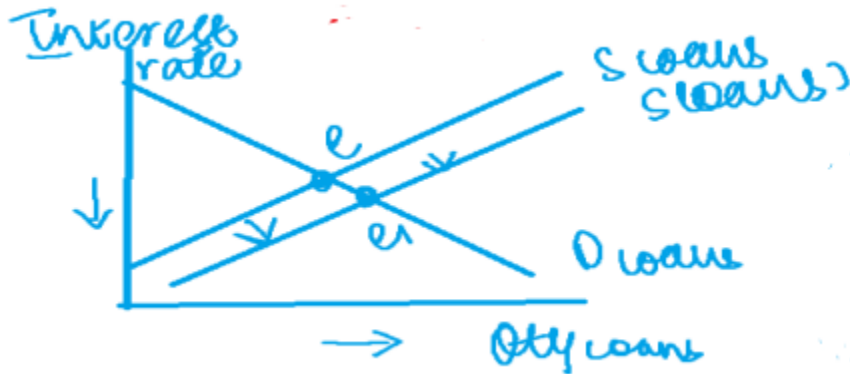
19-B:

A – An increase in savings ratio might make more funds available for investment in capital goods, which might encourage a shift of resources from the primary sector to the secondary sector.

B - A rise in the savings ratio means that more resources are available in the economy to be used for investment purposes which includes the production of capital goods such as machinery, equipment, and infrastructure. This can lead to an increase in the productive capacity of the economy, as more capital goods are available to support economic activity. There will be a long-term increase in the potential of the economy because of this, which will contribute to economic development.

C- While a rise in savings could lead to an increase in investment, which could potentially lead to an increase in trade after having boosted export capacity, this is not a direct consequence of a rise in the savings ratio.

D- Additionally, a rise in savings can lead to an increase in the supply of loanable funds, which can drive down interest rates and make borrowing cheaper, further supporting investment and economic growth.



20-A:

This statement is accurate because many developing economies rely heavily on exporting primary products such as commodities, agricultural products, and natural resources to industrialized countries. Additionally, the terms of trade are often unfavorable to developing countries, meaning they receive low prices for their exports and have to pay high prices for imported goods. This makes their economic performance vulnerable to fluctuations in global demand, prices, and trade policies. **In other words, this represents that they are reliant on the industrialized world for their economic performance.**

B) High levels of capital per head are not typical in developing economies. In fact, many developing countries face capital constraints and rely on foreign investment and aid to finance their development.

C) High real GDP per head is not a characteristic of developing economies. While some developing countries have experienced rapid growth, many still have relatively low levels of GDP per capita. High rates of population growth are further responsible for a fall in real gdp **per head**.

D) Migration of labor from rural to urban areas is significant in developing economies, even if it doesn't result in labor shortages in the rural economy.

21-A:

We are interested in a country in which there has been a highest increase in govt borrowing as a percentage of gdp, which can be seen through the fact that Finland's net lending ratio of 2.7% has decreased to that of -2.8%**(indicating net borrowing)** , which represents that option A is correct.

F ²⁰⁰⁷ 2.7 → ²⁰⁰⁸ -2.8 * Since the surplus has decreased by "5.5%", there has been a greatest increase in govt borrowing.

I -4.5 → -4.5 * The deficit is constant

K 3.4 → 1.3 * Surplus decreased by "2.1%"

S -1.1 → 0.3 * surplus increased
 ↓
 * govt lending increased

* The net lending ratio, also known as the net lending/borrowing rate, is a measure of a country's ability to lend or borrow money to other countries. It's calculated by subtracting the country's total net lending from its total net borrowing. A net lending ratio of zero means that a country is neither a net lender nor a net borrower. A positive net lending ratio means that a country is a net lender, while a negative net lending ratio means that a country is a net borrower.

* A positive net lending ratio is where a government's income is greater than its spending, or in other words, there is a "surplus". Whereas, a negative net lending ratio is where a government's spending is greater than its income, or in other words, there is a "deficit".

* The net lending ratio is calculated by dividing the net lending or borrowing by the country's GDP. This gives a more accurate picture of a country's lending and borrowing activity, since it takes into account the size of the economy.

22-D:

Disposable Income	Consumption Expenditure	Savings	Change in Savings	Change in Income	Marginal Propensity to Save (MPS)
2000	2150	-150	-	-	-
3000	3100	-100	50	1000	0.05
4000	4000	0	100	1000	0.10
5000	4850	150	150	1000	0.15
6000	5650	350	200	1000	0.20
7000	6380	620	270	1000	0.27

The "Change in Savings" column calculates the difference in savings from the previous row.

The "Change in Income" column calculates the difference in income from the previous row.

The MPS column is calculated using the formula: $MPS = \frac{\text{Change in Savings}}{\text{Change in Income}}$

This explains that marginal propensity to save rises continuously.

23-A:

Injections	Leakages
1. Government Spending (G)	1. Savings (S)
2. Investment (I)	2. Taxes (T)
3. Exports (X)	3. Imports (M)

The correct answer is A: a government budget surplus.

When the government runs a budget surplus, it means that it is collecting more revenue in tax than it is spending. **In other words, this represents a situation where taxes (leakages) are greater than government spending (injections), which indicates net leakages from the circular flow.** This reduces the amount of money circulating in the economy.

B) Bank loans to private companies are an injection into the circular flow of income, as they provide additional funds for investment. **(Investment expenditure is an injection)**

C) Foreign direct investment in the economy is also an injection, as it brings new investment in form of capital into the economy. **(Investment expenditure is an injection)**

D) The sale of assets by households to firms is a transfer of wealth within the economy, but it does not represent a leakage from the circular flow of income.

24-B:

The multiplier process is when an increase in autonomous injection into the circular flow results in a multiplier times increase in real national income.

Injections include: export revenues, government spending and investment expenditure.

A closed economy without a government sector represents a two sector economy. In this case, the only injection will be investment expenditure. This means that we will be interested in investment multiplier.

The multiplier shows that an increase in autonomous investment leads to a multiplied increase in national income, as the initial investment stimulates additional rounds of spending and income generation.

The multiplier formula is: $k = \Delta Y / \Delta I$

Where:

- k = multiplier
- ΔY = change in national income
- ΔI = change in investment

A) The multiplier does not show the impact of a change in consumption on investment.

C) The multiplier does not show the impact of national income on consumption. **Instead, marginal propensity to consume shows the impact of a change in national income on consumption.**

D) The multiplier does not directly show the impact of national income on investment. **Instead, the accelerator effect shows the impact of a change in national income on induced investment.**

25-D:

- ➔ According to Keynesian theory, an increase in real income leads to an increase in the demand for money, as people demand more money to finance their increased consumption. **In other words, there will be an increase in transactionary demand of money.**
- ➔ Additionally, an increase in the price level leads to an increase in the demand for money, as people need more money to purchase the same quantity of goods and services. **Again, there will be an increase in transactionary demand of money.**
- ➔ Finally, a decrease in interest rates will result in a decrease in savings and consequently there will be an increase in consumption. This will lead to an increase in the demand for money. This is because, there is a negative relationship between interest rate and demand for money.

26-B:

Note that national expenditure is equivalent to **Aggregate expenditure or aggregate demand**, which includes consumption, investment, government spending, and net exports. **In other words, the formula of it is: $C+I+G+(X-M)$**

An increase in private sector investment would lead to an immediate increase in Aggregate expenditure because investment spending is a component of aggregate demand. **This explains why key B will be correct.**

A) An increase in interest rates would actually increase costs of borrowing, as a result of which investment expenditure will reduce. This will subsequently reduce Aggregate expenditure.

C) An increase in the budget surplus means the government is collecting more revenue than it's spending. When this occurs because of a decrease in government spending, this would reduce Aggregate expenditure directly since it is a component of Aggregate demand.

D) An increase in the savings ratio means people are saving a greater proportion of their incomes. When savings rise, this represents that consumption expenditure is falling, because of which, Aggregate expenditure will fall.

27-D:

When evaluating the economic development of a country, we want to know how well it's doing in terms of prosperity, education, health, and overall well-being.

A) Adult literacy rate: Shows how many adults can read and write, indicating education levels.

B) Average life expectancy at birth: Shows how long people live on average, indicating healthcare quality.

C) Real GNP per capita: Shows the country's economic output per person, indicating income levels

D) Size of population: Just tells us how many people live in the country, not how well they're doing. A country with a large population might be poor, and a small country might be wealthy. This is why key D is correct

28-C:

An increase in **redundancy rates** would lead to a surge in newly unemployed individuals, some of whom may consider starting their own businesses. This is because redundancy can provide the push or motivation for individuals to pursue entrepreneurship, especially if they have difficulty finding new employment.

A) An increase in company tax would make it more expensive for new firms to operate, making it less likely for new firms to emerge.

B) An increase in interest rates would make borrowing more expensive, making it harder for new firms to access funding.

D) An increase in unemployment benefits would provide a financial safety net for individuals, which means that it might reduce the incentive for them to start their own businesses.

29-A:

When a government pursues an expansionary economic policy to increase employment during an economic upturn, it can lead to a rapid increase in aggregate demand. As Aggregate demand increases, the actual of the economy moves closer to the potential. This will result in supply bottlenecks as Aggregate demand outpaces Aggregate Supply. This will subsequently lead to demand pull inflation or in other words, there will be over-heating. **This explains why key A will be correct.**

B) The Laffer curve principle relates to the relationship between tax rates and government revenue.

C) Automatic stabilizers help reduce the impact of economic fluctuations, but do not cause overheating.

D) Under-employment of labor is a characteristic of a recession, not an economic upturn.

30-B:

The correct answer is B: household saving.

A fall in interest rates makes saving less attractive, as the return on savings decreases. This leads to a decrease in household saving, as individuals may choose to spend.

A) Company profits may actually increase as due to lower borrowing costs, interest expense will fall.

C) Because of lower borrowing costs, company profits are likely to increase, which are most likely to result in an increased demand for shares, consequently putting an upward pressure on share prices.

D) The outflow of short-term capital may increase, as lower interest rates make domestic investments less attractive.

